

Employer Health Costs Set for Biggest Jump Since 2003

2026-09-14 · Segment: Health Insurance

WHAT HAPPENED

Marsh Survey: 2027 Employer Health Costs Rising 8.2%, Highest in Two Decades

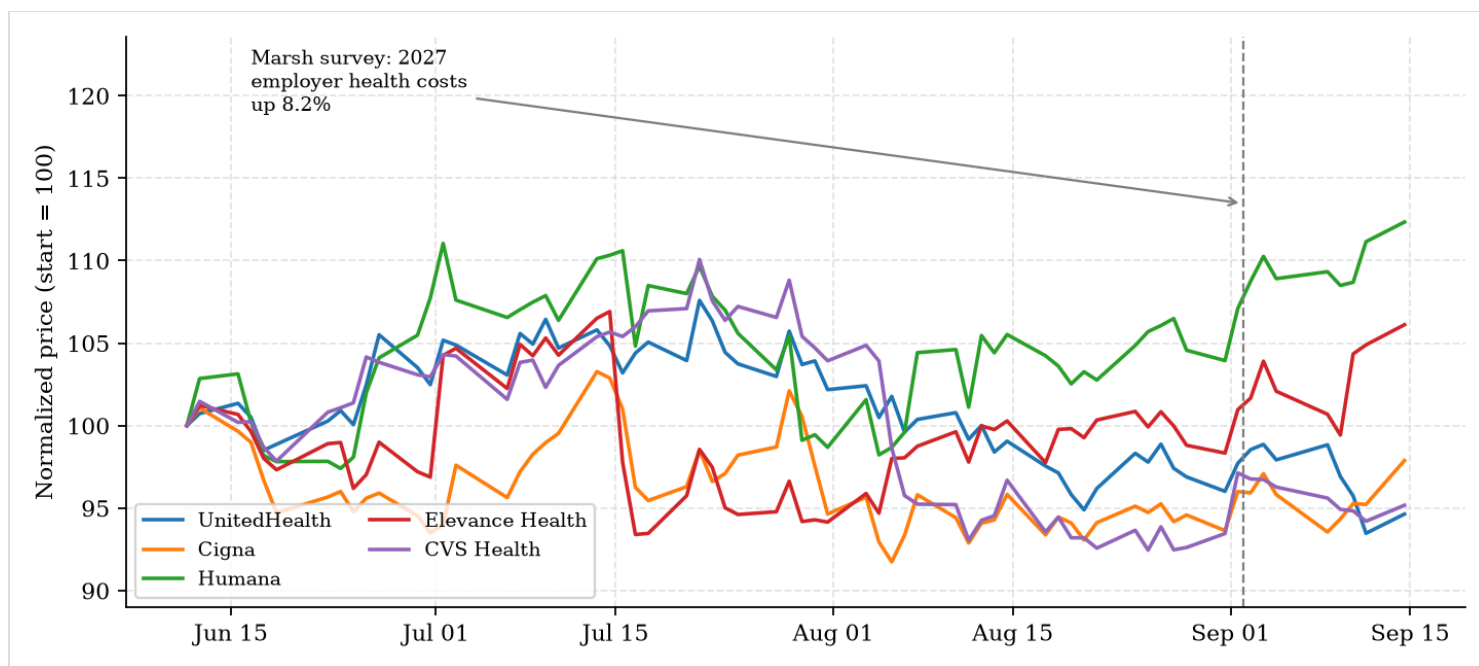
Reported September 2, 2026

Marsh's 2026 National Survey of Employer-Sponsored Health Plans, covering more than 1,800 US employers, found total health benefit cost per employee is projected to rise 8.2% in 2027 even after employers apply planned cost-reduction measures — the steepest increase since 2003. Without any cost-cutting action, employers said their current plans would cost 11% more. The same week, KFF's analysis of 276 insurers found ACA marketplace insurers are proposing a median 15% premium increase for 2027, the second straight year of double-digit hikes.

KEY NUMBERS

Company / Index	Value	Change (1D)
UnitedHealth (UNH)	\$383.82	+1.2%
Cigna (CI)	\$288.61	+2.8%
Humana (HUM)	\$414.18	+1.1%
Elevance Health (ELV)	\$423.60	+1.2%
CVS Health (CVS)	\$95.63	+1.0%

MARKET REACTION



UnitedHealth, Cigna, Humana, Elevance Health, and CVS Health, normalized to 100 at the start of the trailing 3-month window. Dashed line marks the Sept 2 Marsh survey release; all five names traded higher on the day despite the survey signaling rising costs for employers and members, consistent with markets reading higher premiums as supportive of payer margins.

INDUSTRY CONTEXT

Historical parallel: The last time premium growth accelerated this sharply off a low base was the run-up to and rollout of the ACA (2010-14), when insurers repriced individual-market risk pools amid new coverage mandates. Today's driver is different — utilization and provider-cost inflation across employer, ACA marketplace, and Medicare books simultaneously — but the pattern of insurers passing rising medical costs through to premiums, then to consumers, is the same mechanism.

Sources: Marsh, Sept 2, 2026, KFF, Sept 2026 · Market data: Yahoo Finance, as of 2026-09-14.